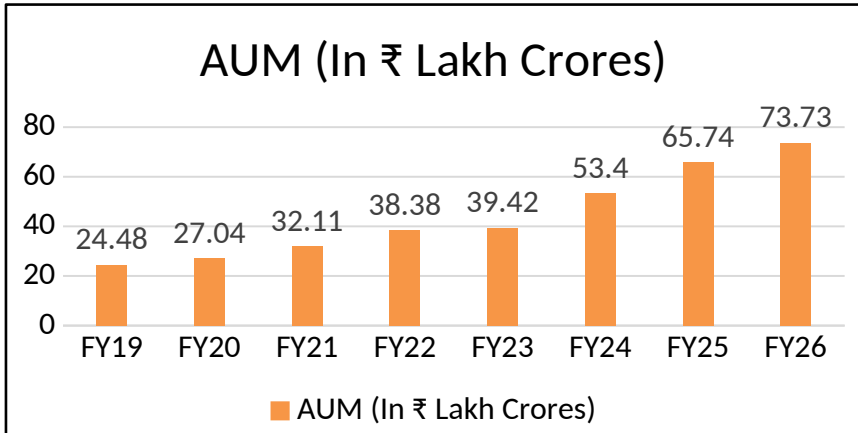


Asset Management

MARKET SIZE

[Link](#)



Distribution Share

Direct

- Industry Average – 44%
- Share has been increasing.
- Refers to Direct Mutual Funds sold via brokers and direct investments.

Associate

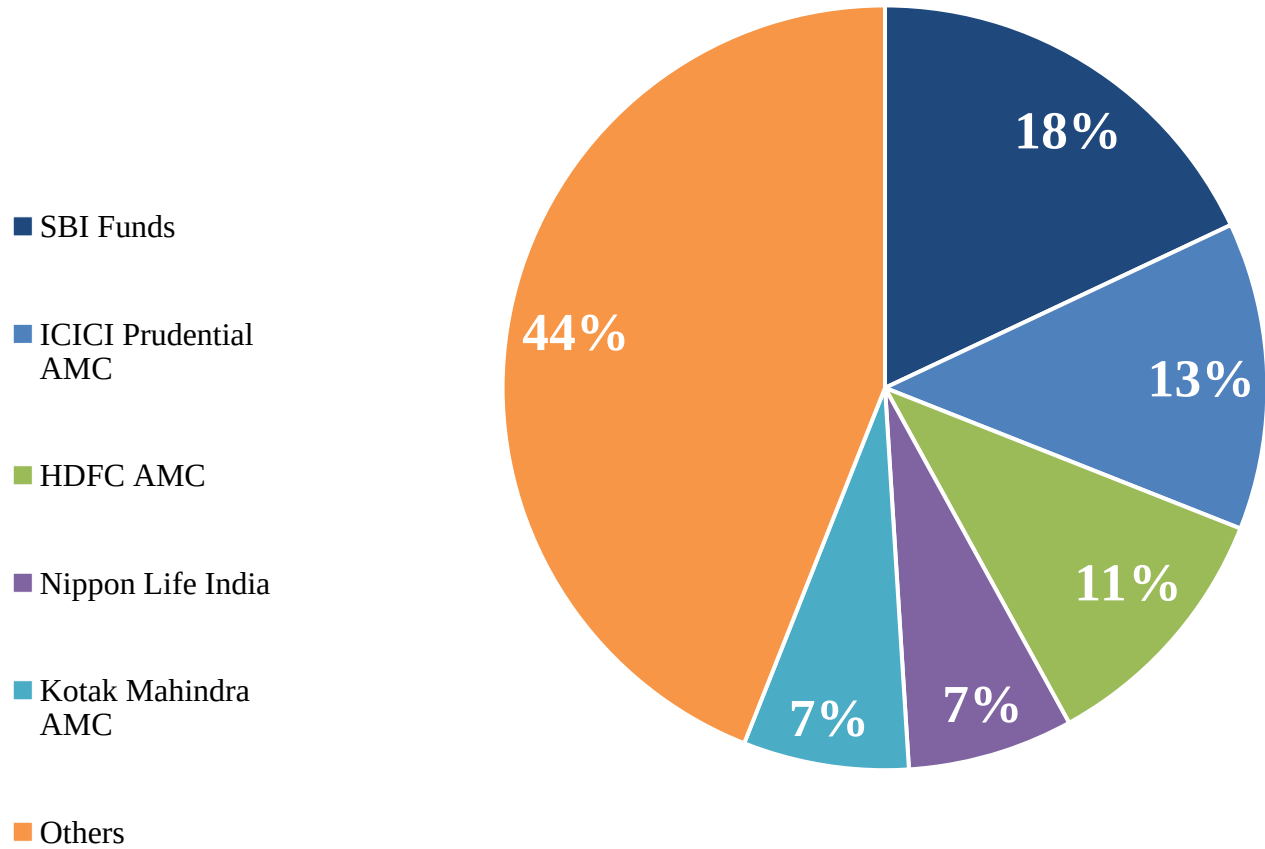
- Industry Average -7%
- Distributors directly linked to asset management companies like banks and insurance subsidiaries.

Non-Associate

- Industry Average – 49%
- Mutual Funds distributors and national distributors.
- Strong in Tier2/3 cities driven by personal advisory.

MAIN PLAYERS IN THE INDUSTRY

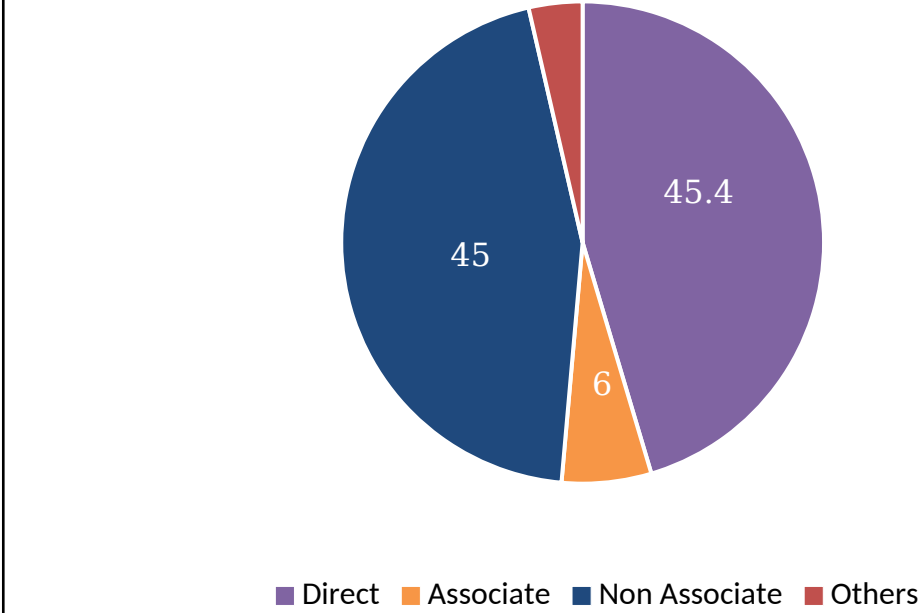
Market Share in AUM



[Link](#)

KEY PLAYERS IN INDUSTRY

Distribution Share



- SBI, ICICI & HDFC AMC are the industry leaders with others catching up on AUM. [Link](#)
- Top 5 players hold 56% of market share. This is due to heavy funding from parent company that has helped establish credibility. [Link](#)
- Top 10 companies have more than 80% of market share. [Link](#)

[Link](#)

Asset Management

PORTER'S 5 FORCES ANALYSIS

Threat of New Entrants

VERY LOW

- Highly regulated by SEBI
- Well established names like SBI
- Huge capital requirement
- Hard to build distribution network

Bargaining Power of Buyers

MEDIUM

- Standardized product
- Easy to switch between alternatives
- Difficult to create USP

Bargaining Power of Suppliers

HIGH

- Heavy reliance on distributors.
- Increasing dependence on brokers
- Rising influence of fintech platforms

Threat of Substitute Products

MODERATE

- Direct equity investing gaining ground
- Popularity of new age products
- HNIs have alternative portfolios

Competitive Rivalry

HIGH

- Big Brands like SBI and HDFC
- Reduction in fees is followed by rivals
- Competitive fees pricing

RECENT & NOTEWORTHY DEVELOPMENTS

- Groww acquired **Indiabulls Asset Management Company Ltd. (IAMCL)** and **Indiabulls Trustee Company Ltd.** from Indiabulls Housing Finance for **₹175.62 crore**. Following the acquisition and rebranding, Groww Mutual Fund's AUM crossed **₹2,000 crore** in 2024 from around **₹342 crore** before the acquisition. [Link](#)
- UBS sold its **onshore wealth management business in India** to **360 ONE WAM** for **₹307 crore**. As part of the transaction, UBS received warrants convertible into a **4.95% stake** in 360 ONE, valued at approximately **₹1,900 crore**. [Link](#)
- The **50:50 joint venture** between **Jio Financial Services** and **BlackRock** received **SEBI approval** to commence mutual fund operations in 2025. Its **first three New Fund Offers (NFOs)** collectively mobilized **over US\$2.1 billion (≈₹17,800 crore)** from more than 90 institutional investors and 67,000 retail investors. [Link](#)

GROWTH DRIVERS AND EMERGING TRENDS

AUM/GDP

AUM/GDP is growing rapidly to 20% in 2025 from 10% in 2016; Developed countries have AUM/GDP of 80%+ [Link](#)

Digitalization of AMC Industry

AMCs investing heavily in digital onboarding, e-KYC, AI-driven customer service, digital distribution, paperless investing to improve customer acquisition and retention. SEBI also promoted simplified digital investment journeys including ₹250 SIPs [Link](#)

Passive Investing Culture

Passive investing is on the rise due to discount brokers & influencers that is driving AUM growth [Link](#)

Mutual Fund

Low Penetration of mutual funds (10% penetration in India) compared to global peers having an average of 53.5% [Link](#)

Asset Management

VALUATION

- The companies in this industry are very cash rich and have huge margins with predictable cashflows. Thus a 2/3 stage discounted cash flow model or dividend discount model is suitable for the industry. In addition, the relative valuation model using EV/AUM or P/E multiples is used.

NATURE

INDUSTRY MULTIPLE

PE Ratio

33.0x

EV/EBIT

25.3x

EV/ Revenue

19.1x

EV/EBITDA

23.4x

KEY PERFORMANCE METRICS

- AUM (Assets Under Management) - total market value of investments managed by the company.
- CAGR - Compound Annual Growth Rate shows the average yearly growth of an investment.
- Average AUM of Indian Mutual Funds industry as on March 31, 2025 stood at ₹65,74,287 cr.
- The AUM of Indian Mutual Fund Industry has gone from ₹10.06 trillion as on July 31, 2014 to ₹65.74 trillion as on March 31, 2025. This is a more than 6 times increase in a span on 10 years.

[Link](#)